



SMU054

PROJECT MANAGEMENT AT KUEHCHIC DESSERTS: REFRESHING A TRADITIONAL BUSINESS

It was the first Wednesday of February 2022 and the students in the Master of Science in Management programme at Singapore Management University (SMU) waited in anticipation. Like all Wednesdays, they knew that Daryl Lim, co-founder of Kuehchic Desserts, a boutique dessert company in Singapore, would bring an assortment of kueh, bite-sized Peranakan¹ cakes, for his classmates to try. Despite the diverse backgrounds of the group, they all loved his weekly treats, which were sometimes sweet, sometimes savoury, but always colourful. Lim had educated them on the kueh making process and the technique to source for ingredients of the highest quality. However, the key ingredient to a great serving of kueh was passion, and Lim's was evident.

Lim was about to graduate and concentrate on his business full-time. He had to set a strategy to launch his products, along with his co-founders Sharon Tan and Shiva Kumar. While the initial feedback on the food was positive, Lim wanted to test his products with a wider tasting panel. The company also had to undertake various business development and website development tasks, which would be split among the team. Lim wondered if his strategy to manage the project was adequate, and if his entrepreneurship journey would be successful.

Singapore Food Culture

Singapore is a small city-state of roughly 700 square kilometres.² Located along an important trading route in the Straits of Malacca, it attracted traders from all over the world who traded with the indigenous Malays. Each group brought their own unique culinary fare along with their merchandise.

The result was a melting pot of food choices. The diverse culinary offerings created a food paradise for Singapore's 5.4 million residents.³ Food was a huge part of the local lifestyle; dining was a social event and food was shared communally. Singaporeans loved their food, and the country was known globally as a food hub.

Origins of Kueh

The Peranakans, a term generally used to refer to people of mixed Chinese and Malay/Indonesian heritage, established their own culture after generations of inter-marriage between Chinese settlers

¹ Peranakan refers to the culture of natives born in the Straits Settlements with mixed ancestry.

² The World Factbook, Singapore, <https://www.cia.gov/the-world-factbook/countries/singapore/>, accessed February 2022.

³ Ibid.

This case was written by Professor Arnoud De Meyer at the Singapore Management University. The case was prepared solely to provide material for class discussion. The author does not intend to illustrate either effective or ineffective handling of a managerial situation. The author may have disguised certain names and other identifying information to protect confidentiality.

and natives from Southeast Asia. Kueh was a significant part of Peranakan cuisine. They used local ingredients such as pandan, coconut, rice, tapioca, and palm sugar (also known as gula melaka). The use of glutinous rice made many types of kueh soft, chewy, and bouncy - unlike Western pastries (refer to **Exhibit 1** for an illustration of kueh). Besides baking, methods of kueh preparation included steaming, frying, and boiling. Traditional recipes for homemade kuehs, like family heirlooms, would be passed down from generation to generation.

Kuehchic Desserts

Lim loved to experiment with various ingredients and different cooking methods. He wanted to make less traditional but healthier and more elegant kuehs. His creation of new types of kueh had received positive response from friends and family. Eventually, his SMU classmates challenged him to build a business out of it. Sharon Tan, Operations Manager of Kuehchic, was a classmate who shared Lim's passion for kueh, and it was agreed that she would be in charge of creating an online shop, making use of existing e-commerce platforms and home delivery services.

Together, they decided that Kuehchic would offer trendier kueh with a healthy twist, attuned to the taste of the millennium generation. Having attended a few sessions on project management, they decided to list the main tasks that would be necessary to launch the business, and quickly realised they also needed some IT support to create and manage the website. The duo then convinced Shiva Kumar, one of their classmates in the programme, to help them on a part-time basis, starting mid-August.

Initial Thoughts

Lim realised that he had to create a portfolio of kueh that would not only be attractive, but also easy to produce in large quantities. This would require far more resources than his usual experimentations at his parents' kitchen. Though his parents were willing to support him and allowed him to use their kitchen for the launch of the company, he knew they would have to scale up and invest in additional kitchen equipment.

Tan too was aware that, in the preparation phase, they had to improve the branding of their products and examine whether the name was acceptable. The products also needed to be tested with a few panels of consumers in their target market. Additionally, she needed to finalise the exact cost of the kitchen equipment that was needed and develop a detailed business plan.

Once they had determined the final portfolio of products, there was the need for a wider market test before they could roll out their products. Kumar would develop the basic website with ordering and payment systems, take photographs of the actual products chosen, and then populate the website. Since Kumar was finishing an internship, he could not start before early August.

After some discussion Lim worked out a schedule for the various necessary tasks. He also estimated the time needed for these tasks and the sequence in which some of them needed to be carried out (refer to **Exhibit 2** for the tasks, duration and sequencing for the launch). For reasons beyond their control, the team could only start work in July.

Lim mused: Assuming they did not work on the weekends but worked on official holidays, could the company be launched before the beginning of September, or two months after they start in early July?

If not, how could they organise for a September 1 start? Which tasks are on the critical path? He was also not sure if the suggested sequencing would work and was open to other proposed sequencing.

In addition, as they were eager to set-up their business quickly, the founders initially wanted to start all the tasks as soon as possible. But were there tasks they should start as late as possible? And would that change anything in the project plan?

Lim also wanted to evaluate which task had the highest free float (slack)? And what was the total float (slack)? If there was any delay on some of these tasks that had slack, which was the one that could change the critical path?

Furthermore, assuming Lim, Tan, and Kumar paid themselves S\$30 per hour, how much would the preparation of this business cost (excluding the procurement of the kitchen equipment)? Lim believed it was safe to assume that the total cost of ingredients in the early phases (before the launch) would not be higher than S\$2,500.

Finally, he wanted to critically examine his workload, along with that for Tan and Kumar. Were any of them overloaded? Would they need some part-time support? Or should they take more time? Or should they reschedule tasks?

EXHIBIT 1: ILLUSTRATION OF KUEH



Source: iStock

EXHIBIT 2: TASKS, DURATION AND SEQUENCING FOR THE LAUNCH

Task	Duration in days	Preceding tasks
A. Kitchen and cooking		
1. Kick off with a kueh party with friends	1	
2. Product development	5	A1, B1
3. Determine kitchen equipment	5	A2
4. Prepare recipes	6	B1
5. Produce for panel test	4	A4
6. Order equipment for scale production	3	A4
7. Receive and install equipment	6	A6
8. Determine ingredients and supply chain	5	B6
9. Initial production launch for test markets	4	A7, A8
10. Prepare production for company launch	5	B8
B. Business Development		
1. Focus groups	3	A1
2. Develop packaging and brand positioning	3	B1
3. Create the company and comply with regulatory requirements	10	B2
4. Identify test panels	2	B1
5. Perform panel test	1	B3, B4, A5
6. Finalise choice of products	1	B5
7. Finalise business plan	5	A6
8. Run test market and evaluate results	15	A9
9. Launch the company's website and start sales	5	A10, B3, C3, B7
C. Website development		
1. Develop basic website	10	
2. Shoot pictures	2	B8, C1
3. Populate website with final product offering	2	C2

Source: Case Writer's Work